

MARKETING STRATEGY

EXECUTIVE BRIEFING

Marketplace Simulation Final Analysis and Reflection — Team 4: CarbonFlux

Sumeet Telgote

MKTG 4460-01 — Sheena van Dyk
Thompson Rivers University
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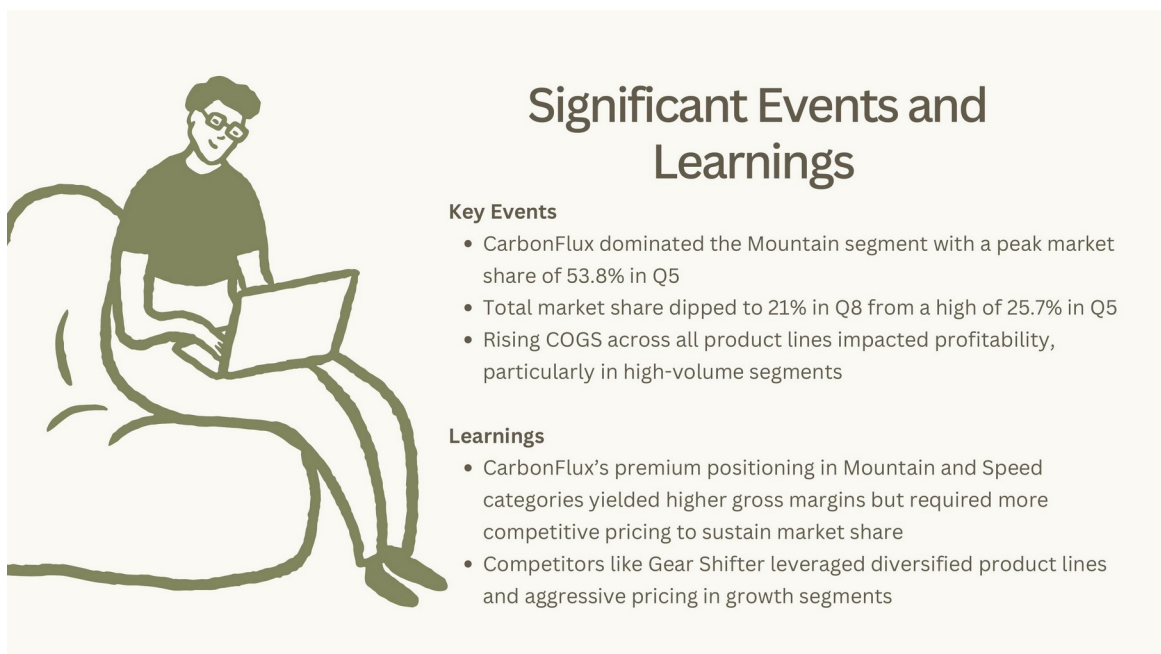
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1 Executive Briefing #2: Final Analysis and Reflection

Marketplace Simulation — Executive Briefing #2 / Final Analysis and Reflection, part of the simulation performance and Balanced Scorecard component (10%). An 8-round review of Team 4's company, CarbonFlux: significant events and learnings, financial and market performance, deviations from the original marketing plan, goals versus actual performance, preparation for future competition, and recommendations. Co-authored with Team 4: Shravistha Barapatre, Reshma Anil, and Sebastian Araujo Barrera.



Slide 1 — Title slide — Executive Briefing: CarbonFlux



Slide 2 — Significant events and learnings — key events across the simulation and lessons on pricing and market share

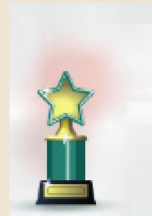
Sales Q8 - key takeaways from 2 years in Business

Sales - Total

Brand	Units Sold	Sales Revenue	Rebates	Cost of Goods Sold	Gross Margin
 Airflux FN	3,262	4,658,000	54,455	1,862,008	2,741,537
 Highflux FN	2,126	2,487,650	32,960	1,028,310	1,426,380
 Roadflux FN	3,001	2,892,230	33,440	1,192,582	1,666,208
 EaseFlux FN	2,524	1,861,380	33,630	1,002,639	825,111
Total	10,913	11,899,260	154,485	5,085,540	6,659,235

We Focused on Speed and Work as our main segments, there is evidence that taking on the Work segment didnt prove as profitable as we thought, reconsider the Work segment brand?

High revenues (almost 12 Million in Q8) being butchered by COGS, (5 Million in Q8) this was due to new components from R&D which raised the COGS coupled with non competitive prices killing revenues by almost half



Our company, **CarbonFlux**, has reached a significant milestone. We generated more than 11 million in sales in quarter 8. The sky is the limit!

Slide 3 — Sales in Q8 — key takeaways from two years in business, by brand



Sales - Total

Brand	Units Sold	Sales Revenue
 Airflux	594	831,600
 Highflux	420	462,000
 Roadflux	414	385,020
Total	1,428	1,678,620

Regional Profitability

	NORAM - EUROPE	APAC
Sales Revenue	6,409,080	5,490,180
- Rebates	82,885	71,600
- Cost of Goods Sold	2,720,393	2,365,147
= Gross Margin	3,605,802	3,053,433
Store Leases	90,000	98,500
+ Sales Force Expenses	278,460	293,763
+ Brand Promotions	8,700	8,700
+ Special Programs	89,150	89,150
+ Point of Purchase Display	1,600	1,600
+ Internet Marketing Expenses	229,736	67,401
+ Brand Advertising	3,831,755	2,732,814
+ Market Research	20,000	20,000
= Regional Expenses	4,549,401	3,311,928
Regional Profit	-943,599	-258,495
% from Sales Revenue	-15	-5

Financial Overview

1. CarbonFlux's revenue grew significantly from \$1.67M in Q3 to \$11.89M in Q8, driven by strong sales in Mountain and Speed segments.
2. Gross profit margins were healthy but eroded by rebates and increasing production costs in Q7 and Q8.
3. Our regional expenses surpassed our gross margin, highlighting inefficiencies that need immediate attention. This suggests we must optimize cost structures, reallocate resources, or reassess the pricing and sales strategy in these regions to restore profitability

Slide 4 — Financial overview — revenue growth, Q8 sales by brand, and regional profitability

Market Performance



01

Overall Market Share

The company's total market share experienced fluctuations, peaking at 25.7% in Q5 before declining to 21% in Q8.

02

Important Segments

The top-performing segments for CarbonFlux were Speed Bikes and Recreation Bikes, while the EaseFlux FN (Work segment) was the worst-performing, with the lowest gross profit margin (44.3%) and the smallest contribution to overall profitability.

Brand Profitability Analysis (Q8)

1. Key Metrics by Brand

The following profitability data was extracted from the brand profitability sheet for Q8:

Brand	Revenue (USD)	Rebates (USD)	COGS (USD)	Gross Profit (USD)	Gross Profit (%)
Airflux FN	4,658,000	54,455	1,862,008	2,741,537	58.9%
Highflux FN	2,487,650	32,960	1,028,310	1,426,380	57.3%
Roadflux FN	2,892,230	33,440	1,192,582	1,666,208	57.6%
EaseFlux FN	1,861,380	33,630	1,002,639	825,111	44.3%

Slide 5 — Market performance — overall market share, top segments, and brand profitability analysis

Deviations from Marketing Plan

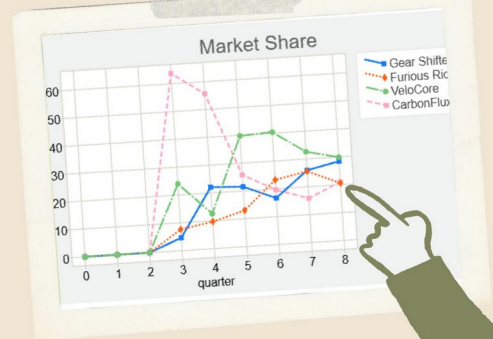


- CarbonFlux shifted focus from expanding Recreation segment offerings to solidifying its dominance in the Mountain category, a move that temporarily boosted profitability.
- The planned investment in APAC distribution was partially redirected to reinforce the NORAM-Europe supply chain, prioritizing higher-margin markets.

 Highflux FN	 Roadflux FN
2,487,650	2,892,230
32,960	33,440
1,028,310	1,192,582
1,426,380	1,666,208

Slide 6 — Deviations from the marketing plan — shift toward the Mountain category and the NORAM-Europe supply chain

Goals vs. Performance



- **Market Share Goals:** Fell short of achieving 25% total market share in Q8, ending at 21% due to intensified competition and pricing pressure.
- **Profitability Goals:** Met gross profit targets in Q6 but missed them in Q7 and Q8 due to escalating COGS and rebates.
- **Revenue Goals:** Exceeded revenue expectations in Q7 and Q8, supported by strong sales in the Recreation and Speed categories.

Slide 7 — Goals vs. performance — market share, profitability, and revenue goals

Preparation for Future Competition

A.

Expand in Growth Segments:

- Develop a new Youth product line to compete with Gear Shifter's offerings.
- Enhance marketing campaigns targeting Work/Mountain buyers with value propositions.



B.

Regional Diversification

Explore opportunities in different regions where stores haven't been set up yet and expand the amount of stores in the regions that are currently being served

Slide 8 — Preparation for future competition — expanding in growth segments and regional diversification



Lessons Learned

CarbonFlux's strategy to focus on high-margin categories proved effective but highlighted the risks of over-reliance on a few segments.

Aggressive competition requires adaptive pricing and market diversification to sustain leadership.

Long-term profitability depends on balancing operational investments with market expansion.

Slide 9 — Lessons learned

RECOMMENDATIONS

- **Innovate Product Lines:** Invest in R&D to introduce differentiating brands catering to multiple segments.
- **Enhance Market Intelligence:** Use competitor analysis to anticipate pricing and promotional strategies.
- **Invest in Airflux FN:** Expand its product line or improve features to capitalize on its strong market presence and profitability and continue premium positioning in the speed segment while introducing mid-range products to capture price-sensitive customers
- **Operational Efficiency:** Evaluate COGS for all brands, especially EaseFlux FN, to identify inefficiencies and cost-saving opportunities.



Slide 10 — Recommendations — product innovation, market intelligence, investment in Airflux FN, and operational efficiency



Slide 11 — Closing slide — thank you from CarbonFlux